Northstar Growth Decision

IB Digital Society · Economics · Student assignment · 16 October 2026

Your job: advise Northstar, not find the “highest number.”

Scenario

Northstar is a fictional online stationery shop. The owner wants to grow during one trading period without damaging service. You must choose one move, explain how it changes the business, and decide whether the move is worth its new responsibilities.

Choose ONE growth move

Horizontal — add pens for the same shoppers.

Vertical — bring delivery inside Northstar.

Concentric — use stationery expertise to sell school kits to school buyers.

Conglomerate — keep the shop and open an unrelated bicycle-repair service.

Learn it in the simulation

Open the Northstar growth simulation.

1. Choose one growth move.
2. Predict what changes: the offer, a stage of the chain, the audience or the industry.
3. Reveal the before/after business and check your classification.
4. Compare the move with the core shop under the same conditions.
5. Identify one possible benefit, one new responsibility and the affected stakeholder.
6. Run one second test by changing only one condition. Decide whether your recommendation still holds.

What to hand in

Choose one format:

• One-page Google Doc, about 250–350 words, with a simple before/after diagram.

• Two-minute spoken explanation with the same diagram and a short written model record.

Your response must answer these six questions

1. What growth move did you choose?

2. What does Northstar look like before and after the move?

3. Why is this horizontal, vertical, concentric or conglomerate growth? Name exactly what changed.

4. What does one fair model comparison show? Use before → after values.

5. Who may benefit, and what new responsibility or cost does Northstar take on?

6. Would you recommend the move? State one model limitation and one condition that would change your judgement.

Use this response frame if useful

I chose ____. Before the move, Northstar ____. After the move, it ____. This is ____ growth because the ____ changed. Under ____ conditions, the core shop produced ____ while the growth move produced ____. This may benefit ____ because ____, but Northstar now has to ____. I would recommend / not recommend the move if ____. I would change my judgement if ____. The model cannot prove ____.

Success check

- The before/after diagram makes the change visible.
- The classification is supported by the changed relationship, not just a memorized label.
- The comparison changes one variable at a time.
- A named stakeholder is connected to a benefit and a new responsibility or cost.
- The judgement is conditional and the model limitation is accurate.

If the simulation is unavailable

Use slides 6–12. Choose one Northstar move, draw the before/after structure, and use the printed core and growth figures supplied by your teacher. You do not need to recreate every calculation.

Submission and saving

Create the response in your own Google Doc or use the agreed spoken option. Submit through the Google Classroom assignment identified by your teacher. The simulation saves locally and can download a practice record; it does not submit to your teacher.